GMS WEEKLY

Your Source for Recycling News

July 15th, 2022
Volume 240, Issue 1040
Week 28

Highlights:

- **Below 600.**
- **Depreciating.**
- **Freight good.**
- **Eerily quiet.**
- **Plots empty.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Inspiration does exist, but it must find you working."

– Pablo Picasso

MARKET COMMENTARY

LITTLE TO WORK WITH!

Given that there are a bare minimal number of even potential candidates floating around for End Buyers to work with, recycling markets appear to be settling for now, at levels well below USD 600/LDT for the most part – a negative differential of about USD 150/LDT from the peaks witnessed earlier this year.

Currencies continue to depreciate across the globe and hit respective historical lows, as some dismal performances (primarily from Gadani Recyclers in the recent past), have left Owners and Cash Buyers nervous to touch this market whilst the situation remains so precarious. Fortunately, firm freight markets continue to deprive the recycling industry of any meaningful tonnage and this is likely to continue for (at least) the next few months ahead.

The summer / monsoon months are traditionally quieter due to the constant rains & tropical storms that tend to afflict the area resulting in slower cutting times of vessels during downpours. As such, labourers return to their hometowns as yards are 'naturally' condemned to a period bereft of activity. Notwithstanding, we have yet to see things get this quiet for many a year now.

The political (and now turning into a financial) collapse witnessed recently in Sri Lanka is also rattling sub-continent nerves, amidst fears from both the weaker Pakistan and Bangladeshi economies who feel they could well be next, as their respective currencies and the painful lack of available steel plates (that eventually affect domestic improvement and construction projects), all converge to an economy being suffered by the unfolding of times.

The only market that is displaying a degree of stability (at least where plate prices are concerned) is Turkey, with both import and local steel reporting no major changes through the course of the week.

Indian and Pakistani port reports too remain empty as recycling yards gradually turn barren across all of the major recycling destinations, whilst industry players hope for some stability and improved sentiments in the weeks / month(s) ahead.

For week 28 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Weak	580 / LDT	590 / LDT	600 / LDT
2	India	Weak	570 / LDT	580 / LDT	590 / LDT
3	Pakistan	Weak	560 / LDT	570 / LDT	580 / LDT
4	Turkey	Weak	260 / LDT	270 / LDT	280 / LDT

BANGLADESH

MOST LIKELY!

Signs of life.

Despite a minor dip in steel plate prices during the week, the Bangladeshi market appears to be the one most likely to provide some signs of life, as a few squeezed-out enquiries emanated from Chattogram Recyclers at generally (firmer, yet lower) levels this week.

There are also some low & below market / opportunistic number(s) being tossed around. Unfortunately, at these seemingly (and shockingly – because USD 600/Ton seem to be today's) low levels, there seems to be little hope for End Buyers to secure any tonnage at the current rates.

Hoping to secure.

The Bangladeshi Taka isn't making life easy for any of the industry players, as the currency teeters on the edge of record lows against the U.S. Dollar, as it braces to breach BDT 94.

As such, Chattogram Buyers may perhaps hope to secure just one or two units post Eid holidays / in the weeks ahead, especially if they can build up their appetite and aggression to buy again.

NO MARKET SALES REPORTED

INDIA

Clawing back!

Despite some marginal volatility this week (down by about USD 10/Ton), local steel prices have clawed back some ground of late – up by about USD 50/Ton since the lows seen only a few weeks ago.

Steel return.

Unfortunately, just as in Bangladesh, the currency continues to present a massive migraine for industry players considering an India re-delivery. The Rupee has finally (albeit briefly) spiked past Rs. 80 against the U.S. Dollar, only to settle back down towards Rs. 79.80 before ending the week.

Calamitous currency.

Notwithstanding, India is a far more resilient economy when compared to its neighbours, one that is unlikely to go the way of Sri Lanka, but these are worrying times across the sub-continent and some stability on currencies will need to be seen for Recyclers (in general) to get back to the buying with any sort of confidence.

For now, with the monsoon in full swing and virtually no beachings this month, it is expected to be a quiet July for the Indian market.

NO MARKET SALES REPORTED

PAKISTAN

LOWEST OF ALL!

Little hope.

Pakistan continues to languish as the lowest of all sub-continent markets and there really is little hope for Gadani Recyclers to get their hands on any meaningful tonnage whilst current sentiments, performance levels, and the deathly absence of tonnage, all persist in unison.

There have been some extraordinarily opportunistic offers in the low USD 500s/LDT, which of course were brusquely brushed aside by the concerned Cash Buyers and Owners alike.

Worth avoiding.

Local steel plate prices seemed to flatline this week whilst the currency continues to take a beating. Like most global currencies, the Pakistani Rupee has been getting hammered as it briefly spiked past Rs. 210, only to settle back into the low Rs. 209 against the U.S. Dollar.

As such, Pakistan remains a market that will need some time to recoup local confidence and its pricing strategies moving forward. For now, however, competing Indian and Bangladeshi markets will more than likely be seeing much of the dwindling supply of vessels that do come for sale.

NO MARKET SALES REPORTED

TURKEY

QUIET JULY!

The Turkish market has been virtually invisible all week, with a post-Eid holiday mood still prevailing, and at a great time too.

Post-Eid.

After weeks of merciless falls, steel plate prices finally evened out this week, with reportedly no further declines in both import and local steel. The currency however is the monster in the room that is gradually slithering towards TRY 18, as it seems destined to breach TRY 17.50 against the U.S. Dollar this week.

With no market units to speak off and a differential of more than double with the Indian sub-continent, it seems destined to be a quiet July (and likely beyond) for Aliaga.

Double differential.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The first person processed at Ellis Island was a 15-year-old girl from Ireland. On January 1, 1892, Annie Moore was the first passenger to disembark at Ellis Island on its opening day. She had traveled to the United States with her two younger brothers aboard the SS Nevada after departing from Queenstown, Ireland (now known as Cobh).*
- *Japan has one vending machine for every 40 people. Japan is thought to have one of the highest densities of vending machines in the world, with one for every 40 people in the country. While most sell various types of beverages, others feature ice cream, noodles, and disposable cameras.*
- *Lemons float, but limes sink. Because limes are denser than lemons, they drop to the bottom of a glass, while lemons float at the top. Out of all these random fun facts, this one's been in front of our faces (or rather, in our glasses) this whole time!*
- *Some fungi create zombies, then control their minds. The tropical fungus Ophiocordyceps infects ants' central nervous systems. Once it has been in an insect's body for nine days, it has complete control over the host's movements. According to National Geographic, it forces the ant to climb trees, then convulse and fall into the cool, moist soil below, where fungi thrive. Once there, the fungus waits until exactly solar noon to force the ant to bite a leaf and wait for death.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
July 10 – Eid-Al-Adha	July 10 – July 19 July 26 – July 31

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
July 09 – July 11 – Eid-Al-Adha	July 13 – July 16 July 29 – July 31

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in July	July 09 – 12 – Eid-Al-Adha	July 09 – 12 – Eid-Al-Adha

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ALANG - Port Position as of July 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Pisc*	*16,723*	*Passenger Vessel*	*Beached July 12*
Total Tonnage		**16,723**		

CHATTOGRAM - Port Position as of July 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ariana	15,672	Tanker	Arrived June 22
2	Cui Hua	5,491	Bulk Carrier	Arrived June 19
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	Muhibbah PB 16 (Under Tow)	728	Barge	Arrived July 13
5	Ocean Alice	3,071	Tanker	Arrived July 11
6	Pacific Marine	1,150	Tanker	Arrived July 14
7	*Suntud Samud 3*	*1,020*	*Container*	*Beached July 14*
8	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		**44,992**		

GADANI - Port Position as of July 15, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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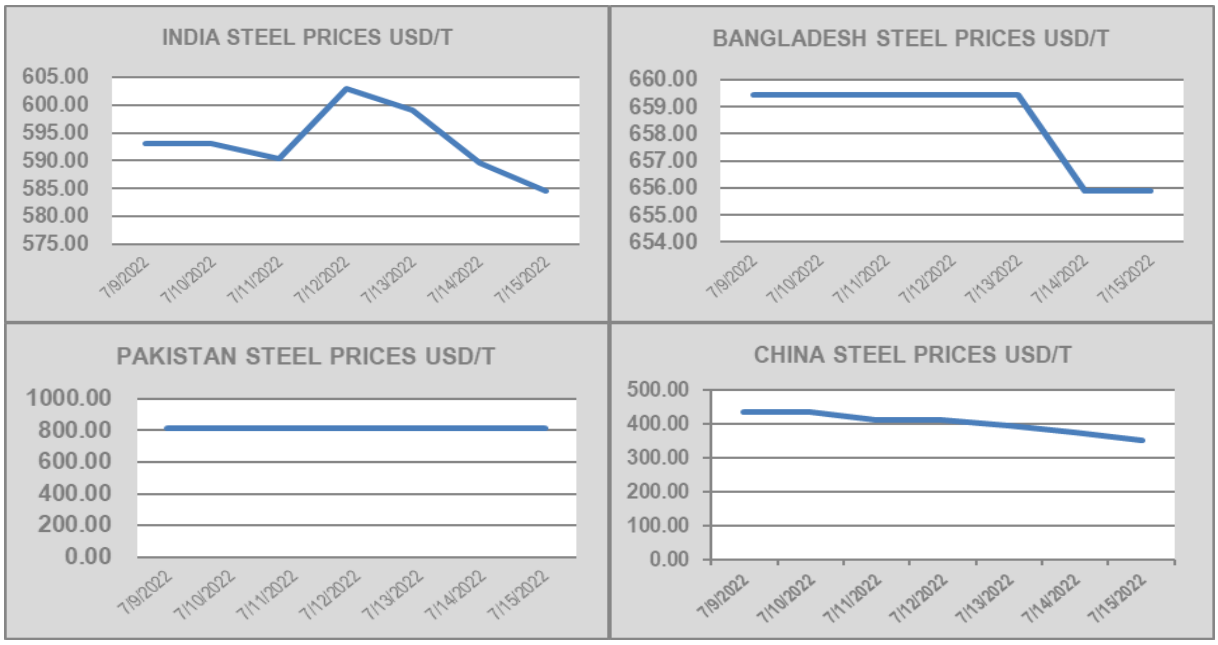
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
7/9/2022	593.06	47,000.00	816.43	169,000.00	659.46	61,000.00	435.93
7/10/2022	593.06	47,000.00	816.43	169,000.00	659.46	61,000.00	435.93
7/11/2022	590.38	46,900.00	816.43	169,000.00	659.46	61,000.00	414.43
7/12/2022	603.02	48,000.00	816.43	169,000.00	659.46	61,000.00	412.41
7/13/2022	599.02	47,700.00	816.43	169,000.00	659.46	61,000.00	397.58
7/14/2022	589.63	47,100.00	816.43	169,000.00	655.91	61,000.00	376.87
7/15/2022	584.63	46,700.00	816.43	169,000.00	655.91	61,000.00	351.84



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